Corporations

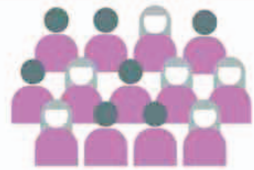
A corporation is a business entity considered distinct from its employees and shareholders. The primary purpose of forming a corporation is for shareholders to avoid personal liability.

How it works

A corporate structure protects management and workers in the case of litigation or other claims. It is, however, a more complex structure and subject to greater regulation than the simpler business entities of sole proprietorships and partnerships. A corporation is owned by one or more stockholders, and is managed by a board of directors and run by the company's officers, who are appointed by the board of directors. The company retains any profit made and may distribute it to the stockholders in the form of dividends. Corporate and securities laws regulate the sale of shares. Legally, the stockholders cannot be held liable for the company's actions and debts.

Types of incorporation

Anyone who operates a business may incorporate by registering articles of incorporation. General incorporation (C Corporation) is the most common structure. An S Corporation, created through IRS tax election, provides limited liability; it is favored by small businesses because it combines the advantages of sole proprietorship, partnership, and the corporate forms of business structure. Nonprofits can also incorporate.



Publicly traded company

A publicly traded company is usually a large business—such as a technology company—with stock traded on a stock exchange, such as NASDAQ.

Public characteristics

- Issues securities through an Initial Public Offering (IPO)
- Can sell future equity stakes
- Has greater access to financing
- Must meet reporting requirements set out by Securities and Exchange Commission (SEC)
- Reduced control for initial owners

NEED TO KNOW

- **Stockholder** An individual, group, or organization that owns shares in a company
- **Doing business as (DBA)** Operational rather than company name
- **Professional corporation (PC)** Corporate form used for primarily for doctors, lawyers, and similar professional service providers